

	it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent.”].) “Suppression of a material fact is actionable when there is a duty of disclosure, which may arise from a relationship between the parties, such as a buyer-seller relationship.” (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843.) The particularity requirement necessitates pleading facts that “show how, when, where, to whom, and by what means the representations were tendered.” (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) The requirement that fraud must be pleaded with specificity applies equally to a cause of action for fraud based on concealment. (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1472.) “California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim For instance, in a case such as this, the court must determine whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties’ contract. If the duty allegedly arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts, as Rattagan has alleged here, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the
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general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission." (Rattagan v. Uber Technologies, Inc., supra, 17 Cal.5th at pp. 43-44.)

Plaintiffs did not allege sufficient facts with the necessary specificity to state this cause of action. Accordingly, the demurrer is **sustained with 15 days leave to amend**.

MOTION TO STRIKE SAC

Civil Code section 3294 provides that punitive damages may be awarded in an action for breach of an obligation not arising from contract if Plaintiffs prove by clear and convincing evidence that Defendant has been guilty of oppression, fraud, or malice. Malice is defined as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civ. Code § 3294, subd. (c)(1).) Oppression is defined as "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code § 3294, subd. (c)(2).) Fraud is defined as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code § 3294, subd. (c)(3).) At the pleading stage, the complaint must allege facts supporting circumstances of oppression, fraud, or malice. (Grieves v. Superior Court (1984) 157 Cal.App.3d 159, 166.)

Punitive damages cannot be pled in conclusory terms, instead the facts supporting a claim for punitive damages must be set out clearly, concisely, and with particularity. (Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1041-1042.)

A corporate defendant may not be liable for punitive damages based on the acts of its employees unless the plaintiff alleges and proves that an officer, director, or managing agent of the corporation: (1) was personally guilty of oppression, fraud or malice; or (2) had advance knowledge of, authorized, or ratified the wrongful conduct for which the damages are awarded. (Civ. Code, § 3294, subd. (b).)

Given that Plaintiffs failed to allege sufficient facts to support their claim for fraudulent inducement – concealment, Plaintiffs also failed to allege sufficient facts to support punitive damages. Plaintiffs did not allege sufficient facts to show oppression, fraud, or malice.

Contrary to Plaintiffs' contention, Plaintiffs are not entitled to recover punitive damages for Plaintiffs' Song-Beverly causes of action. The Song-Beverly Act does not provide for punitive damages. (Civ. Code, § 1794.) Rather, it provides for civil penalties, which have been likened by some courts to punitive damages, in that they are imposed as punishment or deterrence of the defendant, rather than to compensate the plaintiff. (See, e.g., Suman v. Superior Court (1995) 39 Cal.App.4th 1309, 1317; Kwan v. Mercedes-Benz of North America, Inc. (1994) 23 Cal.App.4th 174, 184.) However, civil penalties are not punitive damages.

		Accordingly, Defendant's motion is granted with 15 days leave to amend.
57	<i>Reyes vs. Tight Quarters, Inc.</i>	Defendant Tight Quarters, Inc.'s Motion to Compel Arbitration and Stay the Proceedings Pending Completion of Arbitration is GRANTED. Defendant moves to compel enforcement of an arbitration agreement it contends Plaintiff Enrique Reyes signed when he completed his "onboarding" documents. The Federal Arbitration Act (FAA) applies to any dispute concerning an arbitration provision in a contract "evidencing a transaction involving commerce." (9 U.S.C. § 2.) This phrase is construed broadly and may apply to disputes between residents of the same state and in-state transactions that "affect" interstate commerce. (Khalatian v. Prime Time Shuttle, Inc. (2015) 237 Cal.App.4th 651.) "The 'principal purpose' of the FAA is to 'ensur[e] that private arbitration agreements are enforced according to their terms.'" (Lacayo v. Catalina Restaurant Group Inc. (2019) 38 Cal.App.5th 244, 257, citing AT&T Mobility LLC. v. Concepcion (2011) 563 U.S. 333, 344, 131 S.Ct. 1740.) "California law, like federal law, favors enforcement of valid arbitration agreements." (Baxter v. Genworth North America Corp. (2017) 16 Cal.App.5th 713, 721, citation omitted.) Arbitration provisions are to be interpreted broadly and "should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute." (EFund Capital Partners v. Pless (2007) 150 Cal.App.4th 1311, 1321, citations omitted.) A party seeking to compel